

No further briefing will be permitted.

6.

CASE #	CASE NAME	HEARING NAME
CVPS2503717	ARIAS VS MURO	MOTION TO COMPEL COMPLIANCE AND FURTHER RESPONSES TO REQUESTS FOR PRODUCTION TO DEFENDANT MURO, SETS ONE AND TWO, AND REQUEST FOR SANCTIONS BY OSCAR ARIAS

Tentative Ruling: Granted.

The entire injunction is prohibitory in nature as it seeks to maintain the status quo regarding the operation of Dental Corp. Plaintiff shows a probability of success on the merits and the balancing of hardships favors Plaintiff. Muro Dental is required to return patients, opportunities, and assets belonging to Dental Corp.

Moving party to provide notice pursuant to CCP 1019.5.

This is a business dispute. On 5/16/2025, Oscar Arias ("Plaintiff") filed a complaint against Emilio Muor ("Muro"), Monica Capel ("Capel"), and Muro Dental Corporation ("Muro Dental") asserting the following causes of action: (1) breach of contract; (2) breach of fiduciary duty; (3) conversion; (4) fraudulent transfers; (5) violations of California Corporations Code § 1601 and 1602; (6) constructive trust/accounting; and (7) dissolution of corporation.

The complaint states that on 11/25/2013, Plaintiff and Muro established a dental practice by incorporating Arias Muro Dental Corporation (a nominal defendant here, "Dental Corp."). (Complaint, ¶ 15.) Plaintiff and Muro agreed to share equally in all profits, management, and decision making, being the sole shareholders with each owning 50% of Dental Corp. (*Id.* at ¶ 16.) The complaint further alleges that on 10/24/2024, Muro filed a revised statement of information for Dental Corp removing Plaintiff from the roles previously listed, with Capel replacing Plaintiff as Secretary and Plaintiff being removed from the board. (*Id.* at ¶ 19.) Generally, the complaint goes on to allege that Muro and Capel have taken over Dental Corp, transferring all assets and clients to Muro's own corporation, Muro Dental.

On 7/21/2026, the court granted Plaintiff's unopposed ex parte seeking appointment of a receiver, issuing a temporary restraining order ("TRO"), and setting a hearing to show cause re: confirmation of the receiver appointment. The court set that hearing for 8/6/2026.

On 8/5/2026, Plaintiff filed another ex parte seeking a TRO and a hearing to show cause re: preliminary injunction.

In the instant motion, the court granted the ex parte motion for the TRO and set the OSC re: preliminary injunction for 8/31/26. The docket reflects the court vacated the OSC re: confirmation of receiver appointment, giving the reason, "Preliminary Injunction Expired." A notice of ruling filed by Plaintiff on 8/6/2026 notes that there being no opposition, the court confirmed the appointment of the receiver on the terms of the 7/21/2026 order.

Now, Plaintiff moves for a preliminary injunction prohibiting Muro Dental from the following: (1) making payments to Muro Dental or any third party without Receiver Stephen J. Donnell of FedReceiver, Inc.'s (the "Receiver") express approval; (2) transferring and/or disposing of any property or assets owned by Dental Corp, other than in the ordinary course of business consistent

with past practice; (3) disposing of or distributing any assets, profits, income, revenue, or financial gain of any kind received in connection with the operations of the Company to its shareholders or any person related to any shareholder in whatever capacity; (4) using corporate funds for purposes unrelated to Dental Corp's business operations; and (6) making any material changes to Dental Corp or its business and operations. It also seeks the following: (1) return to Dental Corp. any patients, opportunities, and other assets belonging to Dental Corp. that were transferred to Muro Dental; (2) deliver to the Receiver any and all books, records, documents and written materials relating to the ownership, operation, management, and financial affairs of Dental Corp and Muro Dental, and continue to do so upon request from the Receiver; and (3) cooperate with the Receiver.

The only relevant opposition on file states that it is Muro Dental's opposition to "Plaintiff's receiver confirmation." The opposition states Muro Dental is not opposed to the appointment of a receiver, but seeks clarification of the court's order on actions that are "prohibited as well as mandatory." Specifically, Muro Dental wants to know whether it can operate independently with its own patients that were never seen by, nor treated by Dental Corp.

In reply, Plaintiff states the Receiver's appointment was confirmed by the court on 8/6/2026 and states that there is no meaningful difference between Muro Dental and Dental Corp.

Requests for Judicial Notice (RJN)

Plaintiff seeks judicial notice of: (1) 10/24/2024 Statement of Information for Dental Corp; and (2) the court's 7/21/2026 order. GRANTED (Evid. Code § 452(c) and (d).)

Preliminary Injunction

The purpose of a preliminary injunction is to preserve the status quo pending a determination on the merits. (*Jamison v. Department of Transportation* (2016) 4 Cal.App.5th 356, 361.) A motion for preliminary injunction must show (1) a probability of prevailing on the merits, and (2) that the balance of hardships favors issuance of the injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1463.) However, "[t]he applicant must demonstrate a real threat of immediate and irreparable injury [citation] due to the inadequacy of legal remedies." (*Triple A. Machine Shop, Inc. v. State of California* (1989) 213 Cal.App.3d 131, 138.)

Here there is a clear threat of immediate and irreparable injury in the form of Muro Dental's continued use of assets and resources that are alleged to belong to Plaintiff, at the expense of Plaintiff and Dental Corp's profit margins.

Prohibitory Versus Mandatory

As an initial point, injunctions may be classified as either "prohibitory" or "mandatory." This classification affects whether the injunction, if granted, is automatically stayed during appeal. (*Daly v. San Bernardino County Bd. of Supervisors* (2021) 11 Cal.5th 1030, 1035; *URS Corp. v. Atkinson/Walsh Joint Venture* (2017) 15 Cal.App.5th 872, 884.) "[A]n injunction is prohibitory if it requires a person to refrain from a particular act and mandatory if it compels performance of an affirmative act that changes the position of the parties." (*Davenport v. Blue Cross of Calif.* (1997) 52 Cal.App.4th 435, 446-448.) Mandatory preliminary injunctions are rarely granted: "The granting of a mandatory injunction pending trial is not permitted except in extreme cases where the right thereto is clearly established." (*Teachers Ins. & Annuity Ass'n v. Furlotti* (1999) 70 Cal.App.4th 1487, 1493 [internal quotes omitted]; *Integrated Dynamic Solutions, Inc. v. VitaVet Labs, Inc.* (2016) 6 Cal.App.5th 1178, 1184; *Brown v. Pacifica Found., Inc.* (2019) 34 Cal.App.5th 915, 925.)

The substance of an injunction, and not its form, controls whether enforcement is stayed on appeal and thus, an injunction “prohibiting” certain conduct will be construed as a mandatory injunction if it requires affirmative action that changes the status quo. (*Agricultural Labor Relations Bd. v. Sup.Ct. (Sam Andrews’ Sons)* (1983) 149 Cal.App.3d 709, 713 [injunction restraining employer from “refusing to reinstate” certain workers was actually mandatory injunction compelling employer to rehire, thus automatically stayed on appeal]; *Davenport v. Blue Cross of Calif.* (1997) 52 Cal.App.4th 435, 446 [order “prohibiting” Blue Cross from “denying, refusing or discontinuing” specified medical benefits was actually mandatory injunction compelling payment].)

Incidental mandatory provisions of an essentially prohibitory injunction do not render the injunction wholly mandatory. (*Jaynes v. Weickman* (1921) 51 Cal.App. 696, 700-702.) The character of prohibitory injunctive relief is not changed to mandatory in nature merely because it incidentally requires performance of an affirmative act. (*United Railroads v. Superior Court* (1916) 172 Cal. 80, 88-89.)

The first five requests, referred to as the “Prohibited Acts” in the TRO order, are clearly prohibitory in nature, even though they do require performance of affirmative acts. While the Prohibit Acts require Muro Dental to cease operation as a standalone entity on any patients that were previously Dental Corp patients and using any assets that also were previously Dental Corps’, this is merely returning to the status quo of the original partnership and agreement. Plaintiff provides evidence of this original agreement via the Declaration of Oscar Arias. Muro Dental provides no opposing or conflicting evidence.

This leaves the three requests referred to as the “Mandatory Acts” in the TRO order: (1) return to Dental Corp. any patients, opportunities, and other assets belonging to Dental Corp. that were transferred to Muro Dental; (2) deliver to the Receiver any and all books, records, documents and written materials relating to the ownership, operation, management, and financial affairs of Dental Corp and Muro Dental, and continue to do so upon request from the Receiver; and (3) cooperate with the Receiver. The Mandatory Acts are the subject of Muro Dental’s limited opposition. Muro Dental argues that this requires Muro Dental to effectively cease operations as an independent entity and that the Receiver has taken the position that Muro Dental must run all business through him, even patients Muro Dental asserts were never treated by Dental Corp.

The other two “Mandatory Acts” are already within the scope of the Receiver’s duties and authority as granted on 7/21/2026 and confirmed by the court on 8/6/2026.

Therefore, while Plaintiff categorized the proposed preliminary injunction as having “Prohibited Acts” and “Mandatory Acts,” the entire injunction is prohibitory in nature because it is clear that the only patients, opportunities, and asserts to be returned to Dental Corp and therefore under the purview of the Receiver, are those that belonged to Dental Corp. in the first place.

Probability of Prevailing on the Merits and Balance of Hardships

A preliminary injunction must not issue unless it is “reasonably probable that the moving party will prevail on the merits.” (*San Francisco Newspaper Printing Co., Inc. v. Sup.Ct. (Miller)* (1985) 170 Cal.App.3d 438, 442; see *Costa Mesa City Employees’ Ass’n v. City of Costa Mesa* (2012) 209 Cal.App.4th 298, 309 [no injunction may issue unless there is at least “some possibility” of success].)

Here, Plaintiff shows a probability of success on the breach of contract and breach of fiduciary duty claims. Plaintiff states he and Muro agreed to be the sole shareholders and board members of Dental Corp. (Declaration of Oscar Arias, ¶ 2.) Plaintiff states he did not approve any payments

from Dental Corp to Muro and that Muro and Muro Dental have been diverting revenue while operating at the same premises, using the same assets, and effectively operating Dental Corp through Muro Dental in violation of the contract and fiduciary duty. (*Id.* at ¶¶ 3-8.) The Statement of Information filed on 10/24/2024 shows Plaintiff had been removed from the list of officers, which Plaintiff states was without his knowledge or approval. (*Id.* at ¶ 12; see also, RJN Exhibit A.) Muro Dental provides no evidence in opposition.

Regarding the balancing of hardships, the court must consider whether Plaintiff is likely to suffer greater injury from denial of the injunction than defendants are likely to suffer if it is granted. (*Shoemaker v. County of Los Angeles* (1995) 37 Cal.App.4th 618, 633.) Given the order is structured to still allow Muro Dental to operate so long as it does so independently of any patients and assets that previously belonged to Dental Corp, Plaintiff is likely to suffer greater injury from a denial of the injunction. Muro Dental offers no argument regarding the hardship it will suffer in the event the injunction is granted.